

the lowest low to the cloud base (1.7 years). Once price reaches the cloud, sell, and look elsewhere for another trade.

S&P 500 change, rise for those reaching cloud base. The rise for stocks returning to the cloud averages 362% or a median of 178%. That compares to a rise of 47% and 36%, respectively, for the S&P over the same hold time. This measures from the lowest low to the bottom of the cloudbank. Keep in mind that you won't be buying in at the lowest low, unless you time it perfectly, so your results will average far less than 362%.

Rise for all cloudbank patterns. I measured the rise from the ultimate low to the lower of the bottom of the cloudbank or the peak before end of data. The stock may have moved higher. Indeed, one stock climbed from an ultimate low of 55 cents to \$483.86 for a gain of 87,875%. Other stocks showed outlandish recovery prices, too, so I limited the upside to the bottom of the cloud. The table shows what I found.

How many change trend? This is a count of how many cloudbanks see price rise more than 20%. Nearly all of the patterns qualify, perhaps due to the monthly scale and how far price rises to the ultimate high. I measured from the lowest low to the lower of the bottom of the cloudbank or as high as the stock has recovered so far.

Table 18.3 Frequency Distribution of Time to Return to Cloud Base

Years:	.5	1	1.5	2	2.5
Return	21%	27%	17%	9%	6%
Cumulative	21%	48%	65%	73%	79%
Years:	3	3.5	4	4.5	5
Return	3%	2%	4%	4%	7%
Cumulative	83%	84%	89%	93%	100%

Table 18.3 shows a frequency distribution of those cloudbank trades that saw price return to the base of the cloud. For example, 21% of the patterns returned to the bottom of the cloud within 6 months. Another 27% took a full year to make the trip. By the end of the third year, 83% had completed the journey.